



ENVIRONMENT OF ORGANIZATIONS & MANAGERS

Chapter 2
(Ricky Griffin's Fundamentals
of Management)



THE ORGANIZATION'S ENVIRONMENTS

External Environment

Everything outside an organization's boundaries that might affect it

Internal Environment

The conditions and forces within an organization

Types of environments influencing business decisions/operations

- External Environment
 - General environment
 - Task Environment
- Internal Environment





GENERAL ENVIRONMENT

The set of broad dimensions and forces in an organization's surroundings that determines its overall context

Economic Dimensions - The overall health and vitality of the economic system in which the organization operates

Economic Factors affecting businesses:

- general economic growth,
- inflation,
- interest rates,
- unemployment.





GENERAL ENVIRONMENT

Technological Dimensions - The methods available for converting resources into products or services

- Computer assisted programs installed in products
 - Machinery used in production
 - AI assistance used in business processes
 - Predetermined paths along assembly lines for service industry
 - touch screen kiosks in stores
 - Enterprise systems/ softwares
 - Social media
 - etc
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GENERAL ENVIRONMENT

political–legal dimension - The government regulation of business and the relationship between business and government

- legal system partially defines what an organization can and cannot do.
 - pro- or anti-business sentiment in government influences business activity
 - Policies influencing business operations are relaxed or rigid - competition & pricing
 - government relationships with other countries affect international business
 - mergers and acquisition
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TASK ENVIRONMENT

- Specific organizations or groups that affect the organization. Includes: Competitors, Customers, Suppliers, Regulators, Strategic Partners

Customers:

- Customers are the individuals or groups that buy and use an organization's products or services.
- Understanding customer needs and behavior is crucial for success.
- Effective organizations stay in tune with customers to satisfy demands and maintain loyalty.

Competitors

- Competitors are organizations offering similar products or services in the same market.
 - Businesses must understand their competition to develop strategies to outperform them, whether through pricing, quality, or innovation.
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TASK ENVIRONMENT

- Specific organizations or groups that affect the organization. Includes: Competitors, Customers, Suppliers, Regulators, Strategic Partners

Suppliers

- Suppliers provide the necessary materials, services, or resources that a company needs to produce its goods or services.
- Good relationships with suppliers ensure a smooth production process.
- Changes in supplier costs, quality, or delivery can have a significant effect on the organization.

Regulators

- Regulators include government agencies and other bodies that establish rules and regulations for business operations.
 - Compliance with regulations is essential to avoid legal issues and maintain smooth operations.
 - Examples include health and safety laws, environmental standards, labor laws, and financial reporting regulations.
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TASK ENVIRONMENT

- Specific organizations or groups that affect the organization. Includes: Competitors, Customers, Suppliers, Regulators, Strategic Partners

Strategic Partners

- These are organizations or businesses that collaborate with your company for mutual benefit.
 - Partnerships can help with resources, market access, technology, or distribution channels.
 - Strategic alliances are often formed to enhance competitive advantages.
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INTERNATIONAL ENVIRONMENT

This world is changing enormously.
In any position in a company you need to work very hard
on learning new skills every day, but you also need to
unlearn some of the old skills from the past...”

Alan Jope, CEO of Unilever





INTERNATIONAL ENVIRONMENT

Trends in International Business (volume of international trade, sectors being impacted, businesses in action, finances)

Levels of International Business Activity (exports & imports, licensing, strategic alliance (Star Alliance, Wintel alliance, Uber Spotify), joint ventures (Sony Ericson, BMW Brilliance), direct investment/maquiladoras (in Mexico))

The Context of International Business (cultural environment, controls on international trade (Tariffs, quotas, export restraints), the importance of economic communities (EU and Gulf states), and the role of the GATT and WTO)

Class

Participation:

Is Pakistan a part of economic

communities?
what is/are the names of those communities



INTERNATIONAL ENVIRONMENT

Table 2.1

Advantages and Disadvantages of Different Approaches to Internationalization

Approach to Internationalization	Advantages	Disadvantages
Importing or exporting	1. Small cash outlay 2. Little risk 3. No adaptation necessary	1. Tariffs and taxes 2. High transportation costs 3. Government restrictions
Licensing	1. Increased profitability 2. Extended profitability	1. Inflexibility 2. Competition
Strategic alliances or joint ventures	1. Quick market entry 2. Access to materials and technology	1. Shared ownership (limits control and profits)
Direct investment	1. Enhanced control 2. Existing infrastructure	1. Complexity 2. Greater economic and political risk 3. Greater uncertainty



INTERNAL ENVIRONMENT

The conditions and forces within an organization

Owners - Whoever can claim property rights to an organization

Board of Directors - Governing body that is elected by a corporation's stockholders and charged with overseeing the general management of the firm to ensure that it is being run in a way that best serves the stockholders' interests

Employees - Organizations must maintain good labor relations, provide training, and ensure employee satisfaction to increase productivity and reduce turnover

Physical Work Environment - Facilities and Infrastructure, Layout and Design, Health and Safety, Technology and Equipment, Customer Interaction Areas,





THE ORGANIZATION'S CULTURE

- • • The set of values, beliefs, behaviors, customs, and attitudes that helps the
- • • organization's members understand what it stands for, how it does things, and what it considers important

Importance of Organizational Culture

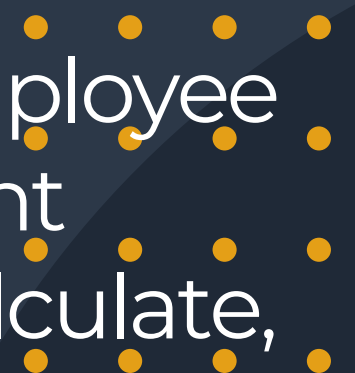
- Employee performance
- decision making
- ethics
- change/flexibility
- business goodwill
- Attracts and Retains Talent
- customer perception

Determinants of Organizational Culture

- Market
- employees
- management/leadership
- technology
- structure
- values
- workplace environment

Managing Organizational Culture

- establish clear values
- lead by example
- open communication
- hire cultural fit
- reinforce culture behaviour
- invest in employee development
- manage, calculate, adjust





QUESTIONS PLEASE!

Reminder:

- Research on real life cases for good and bad ethical behaviours and CSR campaigns
- Watch Madoff (Monster of Wall Street) on Netflix